



Freudenberg-NOK ST Malaysia Travel & Entertainment (T&E) Reimbursement Policy

Purpose

1. Standardize and control T&E and other business expenses.
2. Describe procedures and documentation for reimbursement consideration.
3. To comply with legal and tax requirements.

Scope

1. This policy applies to all associates of FNSTM.
2. The policy document supersedes all other policy documents and procedures around FNSTM Travel & Entertainment and will be the basis for all approvals, audits and measurements across the company.
3. All amounts, if indicated, are in US dollars. Amounts in different currencies are indicated accordingly.

The General Manager has ultimate authority interpreting and administering the Freudenberg-NOK ST Malaysia Travel & Entertainment Policy.

4. "Receipt" is defined as verifiable official document produced and provided by an unrelated third party vendor when cash or credit card payment for goods and services procured from the said vendor is made. The receipt must minimally contain the name and address of the vendor with details of goods and services purchased.

Contact

Please contact the General Manager for questions or comments.

Policy - General

1. Frequency. Associates must submit their expense reports on a monthly basis. Only one **(1)** report per associate per month is allowed.



Freudenberg-NOK ST Malaysia Travel & Entertainment (T&E) Reimbursement Policy

2. Timing. Reimbursement can only be requested after charges are incurred. All expenses must be submitted for reimbursement within two months. Expenses submitted after two months will not be paid.
3. Receipts. Itemized dated detailed receipts required for all reimbursable expenses, excluding the infrequent cash-only transaction (e.g., tips & cash tolls). Detailed restaurant checks are required with the signed credit card receipt. For all expenses requiring pre-approval, associate will submit the approval authorization with the receipt backup. Original hard copy or digital copy must be submitted for reimbursement.

Reservations. Ground, air and hotel reservations must be made through our travel management company unless otherwise authorized by the General Manager.

In order to better contain travel costs, and to ensure the security of our associates in case of an emergency, FNSTM has elected to utilize the services of M.S. Star Travel for making all air, hotel and rental car reservations. .

To ensure that FNSTM is able to obtain single source information on our associate's travel plans, and to obtain volume discounts, thereby lowering overall travel costs, all air, hotel and rental car reservations, including en-route changes, must be made through M.S. Star Travel. (this includes all travel for all expatriates as well).

M.S. Star Travel can be contacted at +6012 236 8811 for after-office hours assistance.

4. Payment. Personal credit card may be used for all vendors/merchants unless you do not specifically have a corporate issued card. No associate should submit expenses incurred by another associate as advances can be arranged.
5. Foreign exchange rate. For overseas payment by credit card, reimbursement will be based on the actual amount in credit card statement. Credit card charges should be in the local currency of country being travelled instead of MYR when actual transaction is performed. Reimbursement of other overseas business related cash payment will be based on a recent currency exchange invoice or quotation for the trip. Foreign exchange loss due to re-conversion to MYR after the end of a trip is reimbursable based on the difference between the initial and last currency exchange invoices.
6. System. All FNSTM associates' business travel expense reimbursement requests must come through the formal FNSTM expense reporting system, E-Office. Relevant claim forms must be filled accordingly and attached together with the original receipts and invoices if applicable. The documents are then handed over to the General Manager's office for audit before the associate uploads the audited documents via E-Office.



Freudenberg-NOK ST Malaysia Travel & Entertainment (T&E) Reimbursement Policy

7. Alternatives. Teleconference calls and Video conferencing should be used as the first choice for meetings. Travel should be an option if and only if it is explicitly determined by the associate and his/her manager that it is critical for business to have the associate travel.
8. Approvals & Rejections. Managers are required to review expense reports, receipt detail, ensure charges are according to policy and approve accordingly; Audits will be performed and disallow charges as appropriate.
9. Responsibilities. As expense management is an important goal for the company, please remember that the expectation is for associates to use good judgment and to be sensitive to cost while on business travel. Associates are responsible for ensuring compliance with policy. Approving managers are responsible for educating associates on policy compliance and confirming reimbursement requests are within policy.

The FNST Corporate Controller, the associate's immediate Manager and Divisional General Manager/Group President, or Corporate Function VP will be advised of any breaches of this policy. **The associate and their immediate approving manager will be responsible for appropriate remedial action, including disciplinary action that may lead to suspension or termination of employment.**

10. Assumption. Unless specified as reimbursable, assume other expenses are not reimbursable.

Air Travel Policy

1. General. Airline tickets are to be purchased if the driving distance to destination is equal to or greater than 4 hours by car or if the cost to travel by air is less than the cost by ground.
2. Advance Purchases. 14-day advanced notice is required, unless otherwise pre-approved by the General Manager. Additionally, Saturday stay encouraged if it results in a net savings (considering additional charges for hotel, meal, rental car, etc.) is greater than \$100.
3. Pre-Authorization.

All airline ticket requires pre-approval from the General Manager .

Additionally, all **International travel exceeding \$4000** requires pre-approval from Divisional General Manager / Group President and/or Corporate Function VP.

If pre-approval is required for airfare, associate will need to email to his or her functional superior (if applicable) and the General Manager. Copy of email approval must be submitted with the receipt backup.



Freudenberg-NOK ST Malaysia Travel & Entertainment (T&E) Reimbursement Policy

4. Class. Coach-class / economy class is the only class reimbursable for all flights. Upgrades are not reimbursable.

Additionally, the use of chartered aircraft requires the advance approval of the FNST President. Also, associates are expressly prohibited from piloting a **private plane** while on company business. Exceptions to this policy must have **prior approval** of the **FNST President**. Associates who receive prior approval to pilot a private plane for business purposes acknowledge that they do so at their own risk and agree to hold Freudenberg-NOK, its partners, officers, directors, associates, successors and assigns harmless in the event of loss or damage resulting from the use of private aircraft for business purposes. Furthermore, regardless of prior approval, **under no circumstances** shall an associate transport Freudenberg-NOK associates, customers, suppliers, agents, etc. in a private plane while on company business.

5. Preferred Airlines. Use of preferred airlines is highly encouraged unless price differential warrants the use of a different airline.

The preferred airline(s) are provided in **Addendum A** located at the end of this document.

6. Frequent Flyer Points. Associates may keep earned airline points for personal use; however reward point preferences should never be considered in making travel arrangements.
7. Connections. Where airfare is cheaper, book travel with connecting flights (assuming \$150 per hour value; e.g., if connecting flight requires two additional hours but saves \$300, connect).
8. Airline Club. Memberships and club costs are not reimbursable by the company under any circumstances.
9. Change Fees. Change fees are not allowed for convenience, and are only allowed for emergency mandated changes.

Hotels

1. Mid-range hotels are to be used and luxury 5 star hotels are not allowed. Use preferred negotiated hotels when staying near FNST/FST/NFS/NFB facilities. The below hotel expense guideline (maximum daily rate before taxes) is to be observed.



Freudenberg-NOK ST Malaysia Travel & Entertainment (T&E) Reimbursement Policy

Japan		Korea	China		USA		Malaysia	
Yen		KW	RMB		US\$		MYR	
Tokyo	Others	Others	Shanghai	Others	San Jose New York Major Cities	Others	KL	Others
13,500	11,000	160,000	750	600	200	160	400	300

Europe	Taiwan	HK	India	Middle East	England	Philippines	Vietnam	Thailand
EUR	NT\$	HK\$	US\$	US\$	Stg Pound	US\$	US\$	TB
120	4,500	2,100	150	150	135	150	130	3,800

Singapore	Indonesia (exclude Batam)	Others
S\$	S\$	US\$
250	200	160

2. Customer Conference Events. Certain specific marketing events (e.g., annual published conferences) necessitate staying at specific venue. In those limited cases, with the General Manager pre-approval, associates may stay in the conference-specific hotel at a rate not to exceed \$250.
3. No Show Charges. Such charges are not reimbursable except for emergency situations approved by the General Manager.
4. Upgrades and Club Level. FNSTM does not reimburse for upgrades or club level.
5. Hotel Rewards. Frequent user points can remain with the associate, but in no case should hotel decisions be made based upon membership in a program.
6. Non-Reimbursable Items. Hotel charges beyond room, taxes and meals are not allowed. Unallowable expense items include but not limited to: in-room movies, gym fees (our preferred hotels do not charge gym fees), mini-bar, gift shop, toiletries, etc.



Freudenberg-NOK ST Malaysia Travel & Entertainment (T&E) Reimbursement Policy

7. Telecommunications Charges. Use of personal mobile phone is encouraged and charges will be fully reimbursed. For long international calls, use of VOIP/Skype is encouraged.
8. Internet Access. Hotel and airport internet access is reimbursable, assuming valid business use and no other reasonable options are available.

Ground Transportation

1. Preferred Vendor. Use only FNST/FNSTM preferred vendor unless unavailable.

The preferred list of car rental vendors is provided in **Addendum A** located at the end of this document.

2. Car Type. Compact cars should be reserved. If four or more people are traveling in the same car, intermediate can be reserved.
3. Insurance and Charges. Insurance coverage must be signed up with the car rental vendor.
4. Additional Rental Car Costs. Every reasonable effort should be made to control costs including pre-inspecting the vehicle for damages, filling the tank before drop-off, etc. Add-on costs (e.g., for mobile phone, GPS to be used in Malaysia, fuel being topped off at rental car agency, etc.) are not reimbursable.
5. Reporting Accidents or Damage. Traveler should report the claim to the rental car company and inform their manager. In addition, any physical injuries should be reported to the General Manager.
6. Personal Use. Only business use is reimbursable. Occasionally associates extend their stay for personal use. In such cases, personal rental car and hotel costs will not be reimbursed by FNSTM.

Mileage Reimbursement. Allowable only when an associate uses their personal vehicle for business required travel. This should be used only when the associate cannot teleconference and/or video conference.

7. When an associate uses his/her personal vehicle for business FNSTM will reimburse at 80sen/km for:
 - a. Only actual miles in excess of the associate's normal commute, and
 - b. Where miles are clearly documented with business reason and customer / participants.



Freudenberg-NOK ST Malaysia Travel & Entertainment (T&E) Reimbursement Policy

- c. Not applicable for Sales associates who receive monthly travelling allowance.
- 8. Toll Charge Reimbursement. Toll charge reimbursement is only allowable on a trip-by-trip basis, with full documentation of associated business purpose for each charge. This is not applicable for Sales associates who receive monthly transport allowance.
- 9. Additional Personal Vehicle Expenses. Other vehicle expenses are not reimbursable. Examples of additional non-reimbursable costs include: car washes, wiper blades, oil changes, and other services and consumables.
- 10. Parking. Reasonable parking costs are reimbursable for business travel.
- 11. Airport Parking. Parking costs incurred for personal cars at the airport is typically reimbursable, and the following apply:
 - a. Short-term airport parking (vs. long-term) is not allowable for overnight trips or longer. The associate should use the lowest cost parking alternative available.
 - b. If round-trip taxi is less costly than the airport parking, taxis should be used.
- 12. Taxi, Train and Limos. Associates should take the least expensive means of transportation for the duration of the trip (e.g., rental car or taxi). Limos are typically more expensive than taxis, and should not be used unless associate can explicitly confirm that the cost of limo service is no more than the cost of taxi service.

Daily Allowance

- 1. Only applicable for associates who perform business travel locally or overseas to visit our lead centers, competence centers, partner production centers, corporate headquarters or are on customer visits for the purpose of receiving training, providing temporary support or conducting sales activities.
- 2. Daily allowance rates are \$60 in the US, EUR48 in Europe, MYR180 in Asia Pacific including Singapore and MYR120 in South East Asia, including Malaysia. When receiving the daily allowance, only hotels and ground transportation are reimbursable. As the daily allowance is not a reimbursement, no receipts will be required by FNSTM. The daily allowance is taxable and is paid as an addition to the monthly payroll check.
- 3. Every trip must be expensed separately and supported by a trip report with the below details:-
 - o Day / time / start / end



Freudenberg-NOK ST Malaysia Travel & Entertainment (T&E) Reimbursement Policy

- o Location
 - o Company visited and contact persons
 - o Reason for visit
4. Business travel below 8 hours will not be entitled to daily allowance while business travel more than 8 hours will be entitled to full daily allowance for each day.

Business Meals and Entertainment

1. Constraints. Reasonable business meals are typically reimbursable, assuming a customer or recruit is present, at least one associate is from out-of-town, or executive business must be conducted off-site for confidentiality purposes. Excessive expenses (expensive bottles of wine, etc.) are not allowed. Entertainment expenses are to be filed for reimbursement by the most senior participant.

Itemized detail. Itemized receipts are required for business meals. Names of attendees, companies represented and business topic documentation is also required.

1. Business Entertainment. Non-meal business entertainment expense (e.g., golf outings, shows, etc.) are eligible for reimbursement only with pre-approval from the General Manager being included with receipts.
2. Internal Team Building. On a limited basis, internal team building meals are reimbursable with pre-approval from the General Manager.

Other Items

1. Office Supplies. Should only be ordered through FNSTM's preferred supplier. Other than minor office supplies, purchases from suppliers/vendors should not be made using your travel credit card or personal credit cards. Instead, these purchases should be made by FNSTM directly.
2. Postage. Postage is reimbursable with valid business reason indicating customer, postage reason, etc.
3. Overnight Delivery. Should be made through FNSTM office directly.
4. Tipping & Gratuities. Customary reasonable tipping is reimbursable. However, tips not included as part of meal charges or otherwise documented on credit card or other receipts are subject to a limitation of \$5 per day.
5. Laundry. Laundry is non-reimbursable except for out-of-town travel exceeding **five** consecutive days.



Freudenberg-NOK ST Malaysia Travel & Entertainment (T&E) Reimbursement Policy

6. Dues, Subscriptions, Professional Affiliations, etc. Must be pre-approved by the General Manager.
7. Training. Eligible for reimbursement assuming a) the training is a requirement for the associate to perform his or her duties and b) pre-approval is obtained from manager and included with receipt.
8. Gifts. Gifts are reimbursable through T&E with pre-approval from the General Manager. Gifts should not exceed MYR200. Gifts for customers, suppliers, government agencies and political parties are prohibited and not reimbursable.
9. Passports. Passport and VISA costs are reimbursable when incurred in conjunction with international business travel requiring a passport.
10. Spouse Travel Expense. If the presence of the FNSTM associate's spouse is necessary for a bona fide business purpose, travel expenses incurred by that associate and the associate's spouse are reimbursable, provided approval has been obtained in advance from the General Manager. In the event that the request is made for the spouse of a GM / Group President / Corporate Function VP, pre-approval from the FNST President is required.
11. Non-Reimbursable Items. Include but are not limited to: personal entertainment, insurances, credit card annual fees and late fees, traffic fines, newspapers, books, magazines, normal travel to or from home and office, babysitting, luggage damage, clothing damage or replacement, etc.
12. Customer-Centric Entertainment Expense. Any customer-centric related entertainment expense (e.g., season tickets for sporting events, country club memberships, etc.) exceeding MYR500 but under MYR5000 need pre-approval from the General Manager. Any customer-centric expense over MYR5000 needs the FNST Presidents approval.

All non-customer-centric entertainment expenses **are not** reimbursable.

13. Health and Medical. Short term insurance coverage for international travel will be provided. Pre-arrangement with appropriate documentation is required before travel. For intercontinental travels, IMG Travel Medical Insurance is arranged through Plymouth Quality Mgt. Administration or T&I Admin. Support in Plymouth. For other international travels, AIG Travel Guard Insurance is arranged through FNSTM.
14. Associates who are required to perform official work in countries above the Tropic of Cancer or below the Tropic of Capricorn are entitled to a clothing allowance, subject to the provision of the relevant receipts to the Company, once every 3 years, based on the rates as follows:



Freudenberg-NOK ST Malaysia Travel & Entertainment (T&E) Reimbursement Policy

Period	Amount
(a) Countries in the North Hemisphere from 15 Sep to 15 April	Up to USD 300
(b) Countries in the South Hemisphere from 15 March to 15 October	Up to USD 300

An Associate is entitled to a clothing allowance of an amount up to USD 125, if he is in the above countries, outside the said period.

ADVANCES

With the expanding use of credit cards, **cash advances are generally to be avoided**. Some minor use of an associate's personal funds may therefore be involved, but following prescribed expense reporting procedures will assure that reimbursement is prompt. In addition, avoiding cash advances will significantly contribute to minimizing company expense in accounting for such advances. All cash advances must be approved via email in advance by the General Manager.

Permanent cash advances are specifically prohibited.



Freudenberg-NOK ST Malaysia Travel & Entertainment (T&E) Reimbursement Policy

Addendum A

PREFERRED AIRLINES

DOMESTIC– AIR ASIA, MALAYSIA

SOUTH EAST ASIA - MALINDO (Batam only), SINGAPORE, MALAYSIA

INTERNATIONAL – DELTA, LUFTHANSA, KLM, SINGAPORE, MALAYSIA AND AMERICAN

PREFERRED CAR RENTAL VENDORS

AVIS, Budget, Alamo, Mayflower

Vehicles can be rented in one city and returned in another; however, there may be an additional charge for this service.